

The Last Mile of Financial Inclusion: Offices, Agents, and the Districts Left Behind in Peru

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Abstract

Peru’s banking supervisor reports that over 90% of districts have access to financial services. I show that only 27.6% have a financial office—a staffed institution capable of evaluating borrowers and originating credit. The difference is banking agents: retail stores that process transactions but do not lend. Combining office data (2002–2025), agent data (2008–2024), and the 2017 national census for all 1,874 INEI-recognized districts, I document three facts. First, financial office expansion stalled after 2011: 282 new districts during a five-year boom, then only 53 in the thirteen years since. The market exhausted viable communities. Second, agents filled the gap: nearly all new district-level inclusion since 2012 has been transactional (1,092 of 1,113 newly covered districts received only agents). Third, the 1,246 agent-only districts—home to 6.6 million people—have the ability to deposit and withdraw but not to borrow. A predictive model identifies districts whose characteristics predict office viability but that remain unserved.

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JEL: G21, O16, R12.

1 Introduction

Financial inclusion is typically measured by whether people have accounts. By this standard, Peru has made remarkable progress: account ownership rose from 20.5% of adults in 2011 to 57.5% by 2021 (Demirguc-Kunt and Klapper, 2013; Allen et al., 2016; Demirguc-Kunt et al., 2022). But accounts are a means, not an end. The economic promise of financial inclusion—enabling savings, credit, investment, and risk management—depends on what services those accounts provide access to. An account used to withdraw a government transfer at a bodega is qualitatively different from one used to receive a business loan at a *Caja Municipal*.

This distinction between transactions and intermediation has a long history in the financial development literature (King and Levine, 1993; Levine, 2005; Beck, Demirguc-Kunt and Levine, 2007). More recently, research on mobile money in East Africa has documented that payment access and credit access have distinct economic effects (Jack and Suri, 2014; Suri and Jack, 2016), and randomized evaluations of basic account access find limited effects without complementary credit services (Dupas et al., 2018). Work on the geography of banking shows that physical distance to a credit-providing institution affects borrowing behavior, investment, and firm outcomes (Nguyen, 2019; Célérier and Matray, 2019). And when credit access is withdrawn—as during India’s microfinance crisis—the welfare consequences are large and persistent: wages, earnings, and consumption all decline (Breza and Kinnan, 2021). These findings suggest that measuring inclusion by account ownership alone—as most national strategies do—may overstate the degree to which financial services are actually reaching underserved populations.

The emerging literature on fintech lending reinforces this concern. Despite rapid growth in digital credit platforms, fintech lending still accounts for a small share of total credit

even in advanced economies (Berg, Fuster and Puri, 2022), and experimental evidence from developing countries finds that digital credit products have limited positive effects on household welfare and may increase over-indebtedness (Brailovskaya, Dupas and Robinson, 2024). In Peru, financial education interventions improve literacy and reduce loan arrears (Frisancho, 2023), but the binding constraint remains access to credit-providing institutions, not financial knowledge.

This paper measures both transactions and intermediation at the district level, for every district in Peru, using administrative data from the banking supervisor (SBS). I combine two datasets that have not previously been used together: the location of every supervised financial office (2002–2025) and the location of every banking agent (2008–2024), matched to district-level population from the 2017 national census.

The resulting classification has three tiers. As of 2024: 517 districts (27.6%) have at least one financial office; 1,246 (66.5%) have banking agents but no office; 111 (5.9%) have nothing. These tiers correspond to different population scales: Tier 1 districts are home to 25.4 million people (78.9% of the national population), Tier 2 to 6.6 million (20.5%), and Tier 3 to 200,000 (0.6%). The “last mile” problem in terms of people is concentrated in Tier 2—communities large enough for a bodega with a POS terminal, but too small for a staffed office.

The paper’s central finding concerns dynamics. Peru experienced a financial infrastructure boom between 2007 and 2011, when 282 districts gained their first office. Since then, office expansion has effectively stopped: 53 districts in thirteen years. Meanwhile, agent coverage surged from 10% to 94% of districts. Over the 2012–2024 period, 1,113 districts gained some form of financial coverage for the first time: 21 received offices and 1,092 received only agents. In other words, **98% of new coverage since 2012 was transactional** (1,092 of 1,113). Peru extended the ability to deposit and withdraw across most of its territory, but barely extended the ability to borrow.

The stall in office expansion is not a regulatory failure—it is market exhaustion. Districts

reached during the boom had a median population of 12,373 (census 2017). The 1,357 districts that have never had an office have a median of 3,040. Staffed offices have high fixed costs—personnel, security, compliance—that small communities cannot sustain. Agents, operating from existing retail stores, have near-zero fixed costs and can serve much smaller markets.

A predictive model incorporating census population, population density, distance to the provincial capital, and geographic region identifies 74 districts that appear viable for office entry but remain unserved. Some are strikingly large: Cieneguilla, on the outskirts of Lima, has 50,000 residents and no financial office. Florencia de Mora, adjacent to Trujillo, has 43,000.

Peru’s situation is not unique. Mexico faces a comparable gap, with 62% of *municipios* lacking bank branches (CNBV, 2019). Brazil closed a similar gap through public bank mandates (Banco Central do Brasil, 2015); Colombia through regulated agent networks with geographic coverage requirements (CGAP, 2015). These examples suggest that Peru’s stall reflects a policy choice, not a geographic inevitability.

This paper’s contribution is empirical. I do not estimate causal effects. Instead, I provide the district-level measurement infrastructure—maps, classifications, time series, and predictions—that evidence-based inclusion policy requires. The paper complements work on inclusion measurement (Demirguc-Kunt and Klapper, 2013; Allen et al., 2016), banking geography (Burgess and Pande, 2005; Bruhn and Love, 2014; Fonseca and Matray, 2024), agent banking (Cámara, Tuesta and Urbiola, 2015; Mas and Siedek, 2008), the Latin American inclusion landscape (Capaul and Ize, 2023; Bachas et al., 2021), and Peru’s financial ecosystem (Conger, Inga and Webb, 2009; Trivelli and Venero, 2007; Aurazo and Gasmi, 2024; Cull, Demirguc-Kunt and Morduch, 2014).

2 Data

I combine four sources. **Financial offices** come from SBS Annex 10 mandatory regulatory filings: annual counts of supervised offices by institution type and district, 2002–2025, covering all 1,874 INEI-recognized districts.¹ Districts without offices record zero financial activity.

Banking agents come from SBS quarterly reports (forms B-2364, C-1236, B-5216, B-3261, C-2241, C-4230) filed by six institution types, 2008–2024. I process 369 raw Excel files to construct an annual panel of agent presence by district, separately tracking *cajeros corresponsales* (banking agents—retail stores with POS terminals) and *cajeros automáticos* (ATMs). Banking agents process deposits, withdrawals, and bill payments but do not originate credit. ATMs provide cash withdrawals and balance inquiries. Neither channel provides credit evaluation or loan origination.

Census population comes from INEI’s 2017 national census, providing population, surface area, and geographic coordinates for 1,874 officially recognized districts.

Household characteristics from the ENAHO survey (2019) supplement the census data with education, self-employment, poverty, and infrastructure variables for a subset of districts.²

3 The Three Tiers of Financial Inclusion

Figure 1 classifies Peru’s 1,874 districts into three tiers as of 2024. Offices (blue) cluster along the coast and in departmental capitals. Agents (orange) fill the intermediate zone. Districts with nothing (red) concentrate in the deep highland interior and remote Amazon.

¹The SBS administrative records contain 1,891 districts, but I restrict the analysis to the 1,874 that appear in INEI’s 2017 national census, ensuring consistency between data and population figures.

²The author used Claude (Anthropic, 2024–2025) for assistance with data processing, statistical analysis code (R, Python), and manuscript drafting. All output was reviewed, verified, and edited by the author, who takes full responsibility for the content of this publication.

Financial inclusion by district, 2024

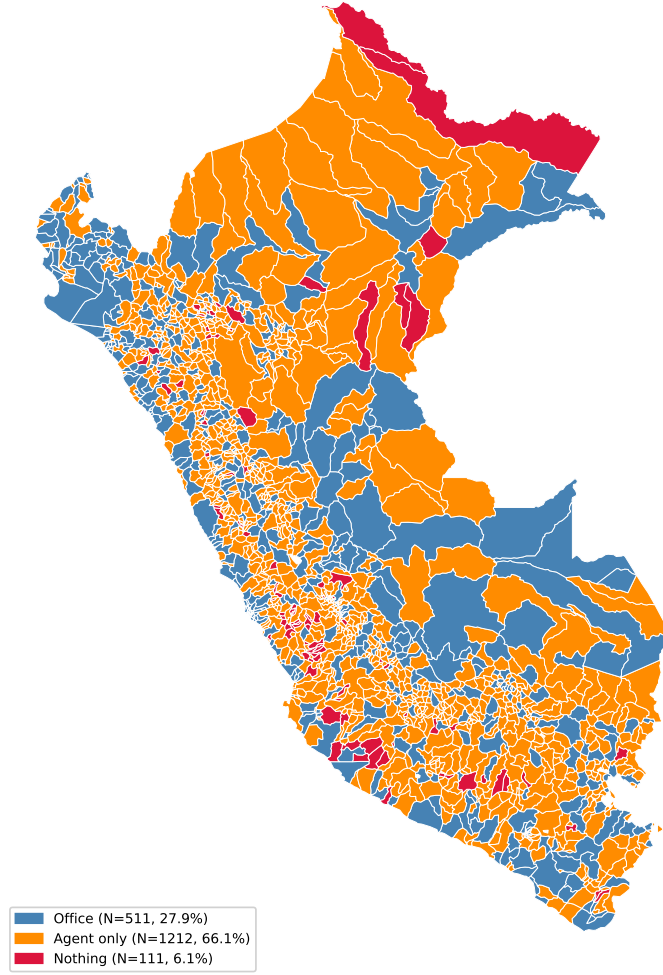


Figure 1: Financial inclusion by district, 2024

Blue: financial office ($N = 511$, 27.9%). Orange: agent only ($N = 1,212$, 66.1%). Red: nothing ($N = 111$, 6.1%). Source: SBS Annex 10 and quarterly agent reports. Map covers 1,834 INEI-shapefile districts; text statistics use the full 1,874 census districts.

Table 1 documents the gradient across tiers using both census and survey data.

Table 1: District and household characteristics by inclusion tier (2024)

	Tier 1: Office ($N = 517$)	Tier 2: Agent only ($N = 1,246$)	Tier 3: Nothing ($N = 111$)
<i>Census 2017:</i>			
Mean population	49,105	5,277	1,775
Median population	18,101	3,526	1,098
Total population (millions)	25.4	6.6	0.2
Share of national population	78.9%	20.5%	0.6%
<i>ENAH0 2019:</i>			
Log household consumption	10.26	9.66	9.51
Self-employment rate	0.363	0.436	0.448
Education level	6.0	4.6	4.4
Poverty index	2.85	2.64	2.50
Electricity access	0.962	0.867	0.806

Population from INEI Census 2017. Household variables from ENAH0 2019. Tier classification based on 2024 SBS data. All pairwise differences $p < 0.001$. Reflects selection, not causal effects. Population shares sum to 100% of matched districts (32.2 million).

The population figures reframe the problem. The 111 Tier 3 districts—those with no financial presence at all—contain only 200,000 people, 0.6% of the population. In terms of people, this extreme exclusion is now negligible. But the 1,246 Tier 2 districts, home to 6.6 million, have transactional access without credit. Whether this intermediate exclusion has economic consequences depends on whether credit access, as distinct from payment access, affects household and firm outcomes. Evidence from other settings suggests it does: Breza and Kinnan (2021) show that losing credit access reduces wages and consumption in India, while Bruhn and Love (2014) find that bank branch entry increases employment and income in Mexico. This paper does not estimate such effects.

The reconciliation with official statistics is straightforward: 94.1% of districts have either an office or an agent, consistent with the SBS’s reported coverage figures. The 67% gap between these definitions—1,246 districts with agents but no offices—is the paper’s central object.

4 The Dynamics of Expansion

Figure 2 traces the evolution of the three tiers from 2008 to 2024.

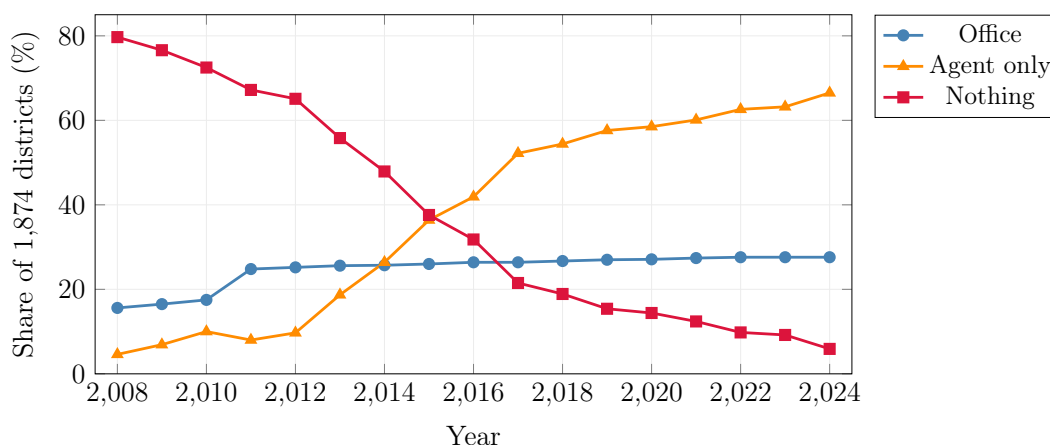


Figure 2: Evolution of the three-tier structure, 2008–2024

Source: SBS. The 2011 dip in agent-only reflects the office boom: many agent-served districts gained offices, moving from Tier 2 to Tier 1. Agent data cover 2008–2024; office data cover 2002–2025.

Office coverage rose sharply during 2007–2011, then flatlined at ~28%. Agent coverage surged from 10% to 67% over 2012–2024, absorbing nearly all of the “nothing” category. Among the 1,113 districts that transitioned from no coverage to some coverage over 2012–2024, only 21 received offices; 1,092 received only agents. The composition of new inclusion was **98% transactional**.

The stall reflects market exhaustion. Table 2 shows that each wave reached progressively smaller districts.

Table 2: Census population by period of first office opening

Period	Mean pop.	Median pop.	N
Pre-2007	101,876	55,251	184
Boom (2007–11)	19,821	12,373	284
Post-2012	16,842	11,521	70
Never banked	4,772	3,060	1,337

Source: INEI Census 2017 matched to SBS office data. $N = 1,874$ INEI districts.

The market consumed large districts first. What remains—median population 3,060—falls below the viability threshold for staffed offices with their high fixed costs. At the post-2012 rate of roughly 5 new districts per year, universal coverage is not foreseeable through market forces alone. Even at the boom-era rate of 56 per year—which required concurrent CMAC expansion, government program rollouts, and high GDP growth—it would take over two decades.

A note on digital financial services: since 2020, mobile payment platforms—Yape, Plin, and BIM—have expanded rapidly in Peru, processing more transactions than physical agents in some markets. These platforms provide payment and transfer services but do not originate credit. They represent a potential fourth tier of inclusion—digital transactional access—that my data do not capture. Whether digital platforms will eventually enable credit origination (through data-driven lending models, for instance) remains an open question.³ For now, digital wallets reinforce rather than resolve the transactional/intermediation distinction: they expand payment access but do not originate credit. The intermediation gap documented in this paper is unlikely to have been closed by digital payments alone.

³Yape, operated by the BCP, reported over 15 million monthly active users by 2024, processing more peer-to-peer transactions than the entire physical agent network. Despite this scale, Yape does not originate credit.

5 Not All Offices Are Equal

The three-tier classification treats all offices as equivalent, but a closer look reveals important heterogeneity. Among the 65 districts that gained their first office after 2012, the SBS data record financial flows that differ sharply by institution type (Table 3).

Table 3: Financial activity three years after first office opening, by institution type

First institution	Mean pop.	Dep. (S/.k)	Credit (S/.k)	Credit/cap	% zero cr.
CMAC ($N = 15$)	18,224	1,960	11,750	0.64	0%
Banco de la Nación ($N = 16$)	9,055	429	0	0.00	100%
Other ($N = 12$)	18,929	6,188	1,656	0.09	67%

Financial activity from SBS Annex 10 at $\tau = 3$ (three years after opening). Of the 65 post-2012 districts, 43 have at least three years of post-entry data (the remaining 22 entered too recently). Among BdN-first districts, 16 of 20 are observable at $\tau = 3$ for the same reason. Deposits and credit in nominal thousands of soles. Credit/cap = credit per capita (thousands of soles per resident, census 2017). CMACs and Banco de la Nación enter systematically different districts (note population), but credit per capita is S/. 640 for CMACs vs. zero for BdN.

In CMAC-first districts, credit appears in the regulatory filings from the year of opening, and none of the 15 districts observable at $\tau = 3$ has zero credit. In Banco de la Nación-first districts, deposits appear—a mechanical consequence of government transfer recipients opening accounts—but credit is absent in every single case. Banco de la Nación’s Multired loan product is available only to formal public-sector employees, a group that is scarce in these small, predominantly informal communities. Of the 20 Banco de la Nación-first districts in the post-2012 sample, 17 have never received a second institution.

Two caveats are important. First, CMACs and Banco de la Nación enter fundamentally different districts—CMACs target communities where they see credit demand; Banco de la Nación follows government transfer program coverage. The population column in Table 3 confirms this: CMAC districts are twice as large. The credit difference reflects both in-

stitutional mandates and district selection. Second, the sample is small ($N = 43$). These patterns are descriptive, not causal estimates.

The policy implication is that the three-tier map slightly overstates Tier 1 inclusion. The 17 Banco de la Nación-only districts have a government payment window but no credit provision—they are formally Tier 1 but functionally closer to Tier 2.

6 Which Districts Are Underserved?

If the market has reached its boundary, which districts near that boundary might be viable with a policy push? I estimate a logistic regression predicting office presence using variables available for nearly all districts: census population, population density, distance to the provincial capital, and geographic region.

Table 4: Logistic regression: predicting financial office presence

Variable	Coeff.	SE	z	p
Log population (census 2017)	1.792	0.118	15.15	<0.001***
Log population density	−0.295	0.077	−3.82	<0.001***
Distance to prov. capital (km)	−0.032	0.005	−6.17	<0.001***
Selva Alta	−0.877	0.305	−2.87	0.004**
Selva Baja	−1.202	0.430	−2.79	0.005**
Sierra	−0.666	0.195	−3.41	0.001***
Intercept	−14.426	0.939	−15.37	<0.001***
N	1,824			
AIC	1,090			
McFadden R^2	0.428			

Baseline region: Costa. Distance computed from INEI district centroids. The model covers 1,824 of 1,834 districts (10 lack coordinate matches). ** $p < 0.01$; *** $p < 0.001$.

Population dominates: each log-unit increase raises the log-odds by 1.79. Distance to the provincial capital matters independently (-0.032 per km, $p < 0.001$): a district 50 km from its capital is substantially less likely to have an office than one 10 km away, holding population constant. All non-coastal regions face penalties, with Selva Baja facing the largest (-1.20). The model’s McFadden pseudo- R^2 of 0.43 indicates good discriminatory power.

Table 5 reports the confusion matrix and sensitivity analysis.

Table 5: Model validation: confusion matrix ($\hat{p} = 0.5$)

Actual	Predicted		Total
	No office	Office	
No office	1,104	74	1,178
Office	160	275	435
Total	1,264	349	1,613

Threshold: $\hat{p} = 0.5$. The sample reduces from 1,824 (Table 4) to 1,613 because `glm` drops 211 observations with missing values in density or distance variables (predominantly small districts lacking census surface area data). Accuracy: 85.5%. Specificity: 93.7%. Sensitivity: 63.2% (the model misses some actual office districts—typically smaller or more remote). The 74 false positives—districts predicted to have an office but lacking one—are the underserved districts.

The 74 false positives are the paper’s “underserved” districts: communities whose observable characteristics predict an office but that remain without one. Table 6 lists the largest.

Table 6: Largest underserved districts

District	Department	Pop.	Dist. to cap. (km)	$\hat{p}$
Cieneguilla	Lima	50,486	30	0.92
La Arena	Piura	38,483	28	0.88
Pacanga	La Libertad	24,913	20	0.88
Pitipo	Lambayeque	24,214	23	0.86
Aucallama	Lima	20,446	20	0.85
San Clemente	Ica	22,548	9	0.85
Nuevo Imperial	Lima	24,623	23	0.84
Florencia de Mora	La Libertad	42,978	3	0.84
Río Negro	Junín	29,250	12	0.84
San Jerónimo	Apurímac	29,017	13	0.82
<i>Total underserved (74 districts)</i>				
Aggregate population: ~ 1 million				

Districts with no financial office but predicted probability > 0.5 . Cieneguilla borders metropolitan Lima; Florencia de Mora is adjacent to Trujillo. Distance measured from district centroid to provincial capital centroid.

The list includes communities of 20,000–50,000 people adjacent to major cities. An important caveat: many of these districts are periurban, meaning their residents likely access financial offices in neighboring districts. Florencia de Mora is 3 km from Trujillo’s center; Cieneguilla borders Lima. For such districts, the absence of a *local* office may not imply the absence of *access to* an office. The 74 underserved districts therefore likely mix two types: (a) districts that are genuinely underserved because distance to the nearest office imposes real costs, and (b) periurban districts whose residents cross district boundaries to access nearby offices. Without data on actual financial service usage by district of residence—which the SBS does not report—I cannot distinguish between these two groups. A rough indicator:

of the 74, approximately half are within 20 km of a district with an office, suggesting that the “genuinely underserved” subset is smaller than 74. Policy attention should prioritize the cases where distance is large and population is substantial.

7 Discussion and Policy Implications

The paper’s core message is that Peru’s financial inclusion progress has been real but qualitatively asymmetric. Agent expansion covered most of the territory, but office expansion—the margin that provides credit access—stalled over a decade ago. This pattern is consistent with the broader global trend documented by the Global Findex: account ownership has surged across developing economies, but the fraction of adults borrowing formally has barely moved (Demirguc-Kunt et al., 2022). Peru is not an outlier—it is a clear example of a global phenomenon.

Why the distinction matters

The welfare implications of this asymmetry depend on whether credit access—as distinct from payment access—has independent economic effects. The causal evidence from multiple settings suggests it does. Burgess and Pande (2005) show that mandated rural branch expansion in India reduced poverty by 14–17% in treated districts, an effect driven by credit, not by deposit services. Bruhn and Love (2014) exploit the simultaneous opening of 800 Banco Azteca branches across Mexico and find a 7.6% increase in informal businesses and 1.4% in employment—again, through credit provision, not transactions. Most directly, Breza and Kinnan (2021) demonstrate that *losing* credit access during India’s 2010 microfinance crisis caused persistent declines in wages (3–4%), earnings, and consumption, with effects concentrated among the poorest households. Fonseca and Matray (2024) find that Brazil’s bank expansion generated significant local development effects, including higher incomes and reduced inequality, reinforcing that physical credit infrastructure produces real economic

gains.

By contrast, interventions that provide only accounts or payment access—without complementary credit services—tend to show limited welfare effects. Dupas et al. (2018) conduct a randomized evaluation of basic savings accounts in three countries (Uganda, Malawi, Chile) and find no discernible effect on savings behavior, investment, or downstream welfare. Bachas et al. (2021) show that debit cards for Mexican transfer recipients increased formal savings, but through a deposit channel, not credit. These findings underscore a key asymmetry: transactional access helps people manage existing resources, but credit access enables the creation of new ones.

The distinction matters for Peru’s 6.6 million Tier 2 residents. They can deposit government transfers, pay utility bills, and receive remittances through the 267,000 agent terminals spread across 1,246 districts. But they cannot access formal credit to finance a harvest, expand a workshop, or bridge a cash shortfall. The literature suggests this is not merely an inconvenience—it is a binding constraint on economic opportunity.

Can digital finance close the gap?

A natural question is whether digital financial services—particularly Yape (BCP) and Plin (Interbank), which together report over 15 million active users—will eventually bridge the intermediation gap without physical offices. The evidence to date is not encouraging.

Berg, Fuster and Puri (2022) review the global fintech lending literature and conclude that digital credit remains a small fraction of total lending even in advanced economies, driven more by convenience than by improved screening of underserved borrowers. In developing countries, the picture is more concerning: Brailovskaya, Dupas and Robinson (2024) find that digital credit in Malawi produced limited positive effects on welfare while increasing the risk of over-indebtedness, as short-term, high-interest digital loans substituted for rather than complemented traditional credit. In Peru, Frisancho (2023) shows that financial education reduces loan arrears by 20%, but this addresses the demand side—the supply-

side constraint of having no credit-providing institution within reach remains unresolved by digital platforms.

Yape and Plin are payment platforms, not lenders. They do not evaluate borrowers, manage credit risk, or originate loans. Whether they will eventually enable data-driven lending models—using transaction histories to assess creditworthiness remotely—remains speculative. For now, digital wallets reinforce rather than resolve the transactional/intermediation distinction: they expand the reach and convenience of payments without extending credit to the communities that lack it.

Policy implications

Four implications follow from the analysis.

Redefining how inclusion is measured. Peru’s ENIF (SBS, 2015) reports a single aggregate coverage figure that combines offices, agents, and ATMs. By this metric, over 94% of districts are “covered.” But coverage is not a binary condition—it has qualitative depth. A district with a CMAC office that evaluates loan applications, manages savings products, and provides financial advisory services is covered in a fundamentally different sense than a district where the only financial presence is a POS terminal in a bodega. The three-tier classification proposed here makes this depth visible. Peru’s national inclusion strategy—and the strategies of other countries facing similar asymmetries—should adopt tiered metrics that track not just whether financial services are present, but *which* financial services are present. The distinction between transactional and intermediation coverage should be a first-order policy indicator, not a footnote.

Targeting underserved districts. The predictive model identifies districts whose observable characteristics—population, density, proximity to provincial capitals—predict that a financial office could be viable, yet no office exists. These districts represent low-hanging fruit for policy intervention. The SBS and FEPCMAC could investigate specific barriers in each case: regulatory friction (licensing requirements that discourage entry into small

markets), infrastructure gaps (electricity, connectivity), or coordination failures (multiple CMACs avoiding a district because each expects the other to enter first). Shared infrastructure between CMACs and existing Banco de la Nación offices could reduce fixed entry costs substantially. The analysis in Section 5 reveals that Banco de la Nación is already present in many underserved districts but does not originate credit—its Multired loan product targets formal public-sector employees, a group that is scarce in these predominantly informal, rural communities. The physical infrastructure for credit provision already exists in some cases; what is missing is the institutional mandate and the credit technology to serve informal borrowers.

Agent-credit hybrids. For the 1,246 agent-only districts, the challenge is extending intermediation without bearing the full fixed costs of staffed offices. One model: agents collect loan applications and basic documentation, which CMAC credit officers evaluate remotely using a combination of transaction data (from the agent network itself), credit bureau records, and periodic field visits. Such models operate in Kenya and Bangladesh (Mas and Siedek, 2008), where mobile money agents serve as the first point of contact for microfinance institutions. Peru’s regulatory framework does not currently authorize agents to perform credit-related functions beyond payment processing; adapting the regulation would require the SBS to define which credit activities agents can facilitate and under what supervision. A key challenge is that Tier 2 districts are disproportionately informal: Aurazo and Gasmi (2024) document that becoming informally employed reduces the probability of entering Peru’s formal financial system by 8 percentage points and increases the probability of exiting by 9.3 points. Any hybrid model that requires formal employment documentation or tax records as a precondition for lending would exclude exactly the population it aims to serve. Successful agent-credit models would need to accommodate alternative creditworthiness indicators—agricultural output cycles, agent transaction histories, community guarantees—that reflect the economic realities of informal rural livelihoods.

Learning from regional experience. Peru is not the only Latin American country that has

faced this problem, and others have found solutions. Brazil mandated that banks receiving public deposits operate branches or correspondent agents in all municipalities, backed by the public bank Caixa Econômica Federal as the institution of last resort for unserved communities (Banco Central do Brasil, 2015). Fonseca and Matray (2024) show that Brazil’s resulting bank expansion generated significant local development effects, including higher incomes and reduced inequality, demonstrating that the costs of mandated entry can be justified by the economic returns. Colombia took a different approach, creating a regulated shared agent network (“corresponsales bancarios”) with explicit geographic coverage requirements, allowing multiple banks to share a single agent point and thereby reducing per-institution costs (CGAP, 2015). Mexico’s *bancarización* strategy similarly used regulatory incentives and public-private partnerships to extend banking services to underserved *municipios* (CNBV, 2019). Each of these models represents a different point on the spectrum between market-driven and mandated expansion. The key insight from the international experience is that pure market forces exhausted their reach in Peru around 2011. The 1,357 never-banked districts, with a median population of 3,060, will not receive offices through market entry alone—their populations are too small, their locations too remote, and the fixed costs of staffed offices too high. Further progress requires deliberate policy intervention that either subsidizes entry, mandates service provision, or redesigns the credit delivery model to operate without traditional offices.

8 Limitations

Digital financial services (Yape, Plin, BIM) are not included in the agent data; they provide payments but not credit. The predictive model uses only census and geographic variables—incorporating credit demand measures could improve predictions but would limit coverage. The 0.5 probability threshold for “underserved” status is a natural classification boundary but inherently arbitrary. The institutional comparison in Section 5 rests on a small sample

and reflects both mandates and selection. This paper is descriptive; no causal claims are made.

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Ethics Statement

Not applicable. This study uses publicly available administrative data from government agencies and does not involve human subjects.

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